# Motives for BRICS Collaboration

## VIEWS FROM THE FIVE CAPITALS

THE COLLABORATION OF Brazil, Russia, India, China, and South Africa (the BRICS) between 2006 and mid-2016 enabled the members to address much of their dissatisfaction with the existing global financial governance institutions, resist financial sanction pressures, and establish new and alternative institutions. But why? What motivates leaders in each of the BRICS to engage in *collective* financial statecraft? Chapter 1 suggests that the BRICS have rational incentives to emulate the successful practices of the leading incumbent powers, most prominently the G7, which organized themselves into clubs to facilitate the coordination of important common interests and set the agenda in key multilateral arenas. For decades, the club model enabled the dominant powers to steer the policy debate in a favorable direction and effectively constrain the policy preferences and bargaining power of the emerging economies in Bretton Woods institutions.[1] Acting collectively in a similar club format, the BRICs could achieve better outcomes than they could by acting alone.If they "actively engage in efforts to discern . . . their respective positions," they are able to "negotiate among themselves to agree on a common position."[2] Moreover, their club meets the basic condition of providing a sufficiently large pool of net benefits for each of its members.[3]

This chapter begins by specifying six propositions that suggest starting points to examine the motivations of the five BRICS to cooperate. The analysis rests on two basic assumptions. First, each BRICS government gauges the costs and benefits of intra-BRICS collaboration. The benefits come from material or status gains that these governments anticipate from cohesion around collective financial statecraft, and the costs include direct material costs (as from contributing funds to achieve some goal), opportunity costs (arising from alternative uses for the resources expended), and indirect costs (such as compromises of a country's future scope for independent foreign policy actions, or the risk of provoking the incumbent major powers). Second, the country case studies understand intra-BRICS cooperation as the result of intentional, independent, and sovereign choices about foreign policy. Unless otherwise specified, reference to the